MANAGEMENT AND ENTREPRENEURSHIP DEVELOPMENT

ORGANISING AND FINANCING THE NEW VENTURE

ORGANISING THE NEW VENTURE

The Concept of an Entrepreneurial Team and the Roles of Founders and team Members

The entrepreneurial team is more than the official founder(s) and close staff members. It comprises those who have the enthusiasm and commitment to help, and to be part of, the new venture. The **team** is the heart of the enterprise It sets the pace of development, instils a philosophy of leadership, and provides the inspiration to transform entrepreneurial dreams into commercial realities. The founders' role is to define the enterprise and the team needed to make it a successful venture. Team members have functional roles, management duties, or director's responsibilities, but they are also adventurers bound to the new enterprise, not eight-to-fivers.

The Nature of a Board of Directors and the Roles of Directors

A board of directors is required by law for corporations and is the chief decision maker. The board is accountable to shareholders (stockholders) for performance and for appointing executives, and it is therefore liable for business conduct. Directors fulfil important roles beyond their decision-making duties. These include roles as mentors, professional advisers, and members of an expanded social network. Directors often provide important access to resources, investors, professionals, and industry groups that are crucial to a venture's success.

The Importance of Personal and Social Networking in New Ventures

Personal networks consist of family, close friends, and acquaintances within a person's immediate circle of daily relationships. These networks may consist of "strong ties," such as family members who will provide direct help to the entrepreneur or 'weak ties,' such as people affiliated with a church who will not provide direct help yet may be able to introduce entrepreneurs to their friends for assistance. Social networks are described in terms of community and industry contacts that can open channels for entrepreneurs to necessary resources, suppliers, customers, and investors. Networking is crucial because it opens channels that entrepreneurs need in their industries and markets to succeed.

Organisational Chart

An **organisational chart** (often called **organisation chart** or **organigram(me)** or **organogram(me)**) is a diagram that shows the structure of an organisation and the relationships and relative ranks of its parts and positions/jobs. The term is also used for similar diagrams, for example ones showing the different elements of a field of knowledge or a group of languages. Organisational structure refers to the division of authority, responsibility, and duties among members of an organisation.

An organisational chart of a company usually shows the managers and sub-workers who make up an organisation. It also shows the relationships between the organisation's staff members which can be one of the following:

Line - direct relationship between superior and subordinate.
Lateral - relationship between different departments on the same hierarchical level.

Staff - relationship between a managerial assistant and other areas. The assistant will be able to offer advice to a line manager. However, they have no authority over the line manager actions.
Functional - relationships between specialist positions and other areas. The specialist will normally have authority to insist that a line manager implements any of their instructions.

In many large companies the organisation chart can be large and incredibly complicated and is therefore sometimes dissected into smaller charts for each individual department within the organisation.

There are three different types of organisation charts: Hierarchical, Matrix and Flat.

Limitations of an Organisational Chart

There are several limitations with organisational charts:

1. It only shows 'formal relationships' and tells nothing of the pattern of human (social) relationships which develop.
2. It shows nothing about the managerial style adopted (e.g. autocratic, laissez faire or democratic)
3. It very quickly becomes out-of-date, especially in large organisations which change their staff regularly.

BASIC FORMS OF BUSINESS OWNERSHIP

One key to success in a new business is knowing how to get the resources you need to start. You may need to take on partners or find other ways of obtaining money. To stay in business, you may need help from someone with more expertise than you have in certain areas, or you may need to raise more money to expand. How you form your business can make a tremendous difference in your long-term success. You can form a business in several ways. The three major forms of business ownership are ***sole proprietorships***, ***partnerships***, and ***corporations***.

It's easy to get started in your own business. You can begin a word processing service out of your home, open a car repair workshop, start a restaurant, or go about meeting other wants and needs of the community on your own. An organisation that is owned, and usually managed, by one person is called a **sole proprietorship**. That is the most common form of business ownership.

Many people lack the money, time, or desire to run a business on their own. They prefer to have someone else or some group of people get together to form the business. When two or more people legally agree to become co-owners of a business, the organisation is called a **partnership**.

There are advantages to creating a business that is separate and distinct from the owners. A legal entity with authority to act and have liability separate from its owners called a **corporation** or **company**.

Advantages of Sole Proprietorships

1. **Ease of starting and ending the business**: All you have to do to start a sole proprietorship is buy or lease the needed equipment (for example, a saw, word processor, tractor, or lawn mower) and generate some form of an announcement that you are in business. It's just as easy to get out of business; you simply stop. There's no one to consult or to disagree with about such decisions. You may have to get a permit or license from the local government, but that's often no problem.

2. **Being your own boss**: "Working for others simply doesn't have the same excitement as working for yourself," many sole proprietors say. You may make mistakes, but they're your mistakes - and so are the many small victories each day.

3. **Pride of ownership**: People who own and manage their own businesses are rightfully proud of their work. They deserve all the credit for taking the risks and providing needed goods or services.

4. **Retention of profit**: Other than the joy of being your own boss, there's nothing like the pleasure of knowing that you can make as much as you can and don't have to share that money with anyone else (except the government, in taxes).

5. **No special taxes**: All the profits of a sole proprietorship are taxed as the personal income of the owner, and he or she pays the normal income tax on that money.

Disadvantages of Sole Proprietorships

1. **Unlimited liability**: - the risk of losses. When you work for others, it's their problem if the business isn't profitable. When you own your own business, you and the business are considered one. You have **unlimited liability**; that is, any debts damages incurred by the business are your

debts and you must pay them, even if it means selling your home, your car and so forth. This is a serious risk - one that requires thought and discussion with a lawyer, insurance agent, and others.

2. **Limited financial resources**: Funds available to the business are limited to the funds that the one (sole) owner can gather. Since there are serious limits to how much money one person can raise, partnerships and corporations have a greater probability of recruiting the needed financial backing to start a business and keep it going.

3. **Difficulty in management**: Most businesses need some management; that is, someone must keep inventory records, accounting records, tax records, and so on. Many people who are skilled at selling things or providing a service aren't so skilled in keeping records. Sole proprietors may have no one to help them. It's often hard to find good, qualified people to help run the business.

4. **Overwhelming time commitment**: It's hard to own a business, manage it, train people, and have time for anything else in life. The owner must spend long hours working. The owner of a store, for example may put in 12 hours a day at least six days a week - almost twice the hours worked by a salaried labourer. Imagine how this time commitment affects the sole proprietor's family life.

5. **Few fringe benefits**: If you're your own boss, you lose the fringe benefits that come from working for others. You have no health insurance, disability insurance, no sick leave, no vacation pay, and so on. These benefits may add up to 30 percent or more of a worker's income.

6. **Limited growth**: If the owner becomes incapacitated, the business often comes to a standstill. Expansion is often slow since a sole proprietorship relies on its owner for most of its creativity, business know-how, and funding.

7. **Limited life span**: If the sole proprietor dies or retires, the business no longer exists unless it's sold or taken over by the sole proprietor's heirs.

Partnerships

A partnership is a legal form of business with two or more owners. There are several types of partnerships: 1. general partnerships, 2. limited partnerships, and 3. master limited partnerships. A **general partnership** is a partnership in which all owners share in operating the business and in assuming liability for the business's debts. A **limited partnership** is a partnership with one or more general partners and one or more limited partners. A **general partner** is an owner (partner) who has unlimited liability and is active in managing the firm. A **limited partner** risks an investment in the firm, but enjoys limited liability and cannot legally help manage the company. **Limited liability** means that limited partners aren't responsible for the business's debts beyond the amount of their investment - their liability (debts they must pay) is limited to the amount they put into the company; their personal assets aren't at risk.

A new form of partnership, the **master limited partnership (MLP)**, is much like a corporation in that it acts like a corporation and is traded on stock exchanges like a corporation, but is taxed like a partnership and thus avoids the corporate income tax.

Advantages of Partnerships

1. **More financial resources**: Naturally, when two or more people pool their money and credit, it's easier to pay the business's rent, utilities, and other bills. A limited partnership is specially designed to help raise capital (money). As mentioned earlier, a limited partner invests money in the business, but can't legally have any management responsibility and has limited liability.

2. **Shared management and pooled knowledge**: It's simply much easier to manage the day-to-day activities of a business with carefully chosen partners than to do it alone. Partners give each other free time from the business and provide different skills and perspectives. Many people find that the best partner is a spouse. That's why you see many husband-wife teams managing restaurants, service shops, and other businesses.

3. **Longer survival**: Partnerships may be more likely to succeed than sole proprietorships. Having a partner helps a businessperson to become more disciplined because someone is watching over him or her.

Disadvantages of Partnerships

Any time two people must agree on anything, there's the possibility of conflict and tension. Partnerships have caused splits among families, friends, and marriages. Let's explore four disadvantages of partnerships:

1. **Unlimited liability**: Each general partner is liable for the debts of the firm, no matter who was responsible for causing those debts. You're liable for your partners' mistakes as well as your own. Like a sole proprietor, general partners can lose their homes, cars, and everything else they own if the business is sued by someone.

2. **Division of profits**: Sharing the risk means sharing the profit, and that can cause conflicts. For example, two people form a partnership; one puts in more money and the other puts in more hours. Each may feel justified in asking for a bigger share of the profits. Imagine the resulting conflicts.

3. **Disagreements among partners**: Disagreements over money are just one example of potential conflict in a partnership. Who has final authority over employees? Who hires and fires employees? Who works what hours? What if one partner wants to buy expensive equipment for the firm and the other partner disagrees? Potential conflicts are many. Because of such problems, all terms of partnership should be spelled out in writing to protect all parties and to minimise misunderstanding in the future.

4. **Difficult to terminate**: Once you've committed yourself to a partnership, it's not easy to get out of it. Sure, you can end a partnership by just saying, "I quit." However, questions about who gets what and what happens next are often difficult to solve when the business is closed. Surprisingly, law firms often have faulty partnership agreements and find that breaking up is hard to do. How do you get rid of a partner you don't like? It's best to decide that up front - in the partnership agreement.

The best way to learn about the advantages and disadvantages of partnerships is to interview people with experience doing such agreements. They'll give you insights and hints on how to avoid problems.

How to Form a Partnership

It's not hard to form a partnership, but it's wise for each prospective partner to get the counsel of a lawyer experienced with such agreements. Lawyers' services are usually expensive, so would-be partners should read all about partnerships and reach some basic agreements before calling a lawyer.

For your protection, be sure to put your partnership agreement in writing. The following may be included in a written partnership agreement:

1. The name of the business.
2. The names and addresses of all partners.
3. The purpose and nature of the business, the location of the principal offices, and any other locations where the business will be conducted.
4. The date the partnership will start and how long it will last. Will it exist for a specific length of time or will it stop when one of the partners dies or when the partners agree to discontinue?
5. The contributions made by each partner: Will some partners contribute money, while others provide real estate, personal property, expertise, or labour? When are the contributions due?
6. The management responsibilities: Will all partners have equal voices in management or will there be senior and junior partners?
7. The duties of each partner.
8. The salaries and drawing accounts of each partner.
9. Provision for sharing of profits or losses.
10. Provision for accounting procedures. Who'll keep the accounts? What bookkeeping and accounting methods will be used? Where will the books be kept;?
11. The requirements for taking in new partners.
12. Any special restrictions, rights, or duties of any partner.
13. Provision for a retiring partner.
14. Provision for the purchase of a deceased or retiring partner's share of the business.
15. Provision for how grievances will be handled.
16. Provision for how to dissolve the partnership and distribute the assets to the partners.

One fear of owning your own business or having a partner is the fear of losing everything you own if the business loses a lot of money or someone sues the business. Many businesspeople try to avoid this and the other disadvantages of sole proprietorships and partnerships by forming corporations.

Corporations

Although the word corporation makes people think of big businesses, it's not necessary to be big in order to incorporate (start a corporation). Obviously, many corporations are big. However, incorporating may be beneficial for small businesses also. A conventional corporation is a state-chartered legal entity with authority to act and have liability separate from its owners. What this means for the corporation's owners (shareholders) is that they aren't liable for the debts or any other problems of the corporation beyond the money they invest. Owners no longer have to worry about losing their house, car, and other property because of some business problem - a significant benefit. A corporation not only limits owners' liability, it enables many people to share in the ownership (and profits) of a business without working there or having other commitments to it.

Advantages of Corporations

Most people aren't willing to risk everything to go into business. Yet, for businesses to grow and prosper and create abundance, many people would have to be willing to invest their money in businesses. The way to solve this problem was to create an artificial entity, one that exists only in the eyes of the law - a corporation. Let's explore some of the advantages:

1. **More money for investment**: To raise money, a corporation sells ownership (share or stock) to anyone who's interested. This means that millions of people can own part of the Company. If a company sold 10 million shares for $50 each, it would have $500 million available to build plants, buy materials, hire people, build products, and so on. Such a large amount of money would be difficult to raise any other way. Corporations may also find it easier to obtain loans since lenders find it easier to place a value on the company when it can review how the share (stock) is trading.

2. **Limited liability**: A major advantage of corporations is the limited liability of owners. Corporations in England and Canada often have the letters Ltd. after their name, as in British Motors, Ltd. **Ltd.** stands for limited liability, which is probably the most significant advantage of corporations. Remember, **limited liability means that the owners of a business are responsible for losses only up to the amount they invest**.

3. **Size**: That one word summarises many advantages of corporations. Because they have large amounts of money to work with, corporations can build large, modern factories with the latest equipment. They can also hire experts or specialists in all areas of operation. Furthermore, they can buy other corporations in other fields to diversify their risk. (This means that a corporation can be involved in many businesses at once so that if one fails, the effect on the total corporation is lessened.) In short, a major advantage of corporations is that they have the size and resources to take advantage of opportunities anywhere in the world. Corporations don't have to be large to enjoy the benefits of incorporating. Many doctors, lawyers, and individuals and partners in a variety of businesses have incorporated.

4. **Perpetual life**: Because corporations are separate from the people who own them, the death of one or more owners doesn't terminate the corporation.

5. **Ease of ownership change**: It's easy to change the owners of a corporation. Simply sell the share to someone else.

6. **Ease of drawing talented employees**: Corporations can attract skilled employees by offering such benefits as stock options (the right to purchase shares of the corporation for a fixed price).

7. **Separation of ownership from management**: Corporations can raise money from many different investors without getting them involved in management (See the corporate hierarchy).

Owners/shareholders (elect board of directors)
Board of directors (hire officers)
Officers (set corporate objectives and select managers)
Managers (supervise employees)
Employees

The Corporate Hierarchy: How owners affect management (Source: Nickels *et al*., 1987)

The Corporate Hierarchy Table shows that the owners/shareholders are separate from the managers and employers. The owners elect a board of directors. The directors select the officers. They, in turn, hire managers and employees. The owners thus have some say in who runs the corporation, but no control.

Disadvantages of Corporations

1. **Initial cost**: Incorporation may be costly and involve expensive lawyers and accountants.

2. **Paperwork**: The papers to be filed to start a corporation are just the beginning. Tax laws demand that a corporation prove all its expenses and deductions are legitimate. A corporation, therefore, must process many forms. A sole proprietor or partnership may keep rather broad accounting records; a corporation, on the other hand, must keep detailed records, the minutes of meetings, and more.

3. **Two tax returns**: If an individual incorporates, he or she must file both a corporate tax return and an individual tax return. The corporate return can be quite complex.

4. **Size**: Size may be one advantage of corporations, but it can be a disadvantage as well. Large corporations sometimes become too inflexible and too tied down in red tape to respond quickly to market changes.

5. **Difficulty of termination**. Once a corporation is started, it's relatively hard to end.

6. **Double taxation**. Corporate income is taxed twice. First, the corporation pays tax on income before it can distribute any to stockholders. Then the stockholders pay tax on the income (dividends) they receive from the corporation.

How to Form a Corporation

1. The corporations name (Choose an available business name that complies with your country's corporation rules). The name of your corporation must comply with the rules of your country's corporation division. The following guidelines generally apply:
The name cannot be the same as the name of another corporation on file with the corporations office. The name must end with a corporate designator, such as "Corporation," "Incorporated," "Limited," or an abbreviation of one of these words (Corp., Inc., or Ltd.).
The name cannot contain certain words prohibited by the country, such as Bank, Cooperative, Federal, National, or Reserve.
2. The names of the people who incorporated it.
3. Its purposes.
4. Its duration (usually perpetual).
5. The number of shares that can be issued, their voting rights, and any other rights the share have.
6. The corporations minimum capital.
7. The address of the corporation's office.
8. The name and address or the person responsible for the corporation's legal service.
9. The names and addresses of the first directors.
10. Any other public information the incorporators wish to include.

FINANCING THE NEW VENTURE

One of the most difficult problems in the new venture creation is obtaining financing. For the entrepreneur, available financing needs to be considered from the perspective of debt versus equity and using internal versus external funds as the funding source.

Sources of Funding

Debt and Equity Financing

Two types of financing need to be considered: ***debt financing*** and ***equity financing***. **Debt financing** is a method involving an interest-bearing instrument, usually a loan, the payment of which is only indirectly related to the sales and profits of the venture. Typically debt financing (also called asset-based financing) requires that some asset (such as a car, house, plant, machine or land) be used as collateral.

Debt financing requires the entrepreneur to pay back the amount of funds borrowed, plus a fee expressed in terms of the interest rate and sometimes points for using or being able to use the money.

If the financing is short-term (less than one year), the money is usually used to provide working capital to finance inventory, accounts receivable, or the operation of the business. The funds are typically repaid from the resulting sales and profits during the year.

Long term debt (lasting more than one year) is frequently used to purchase some asset such as a piece of machinery, land, or a building, with part of the value of the asset (usually from 50 to 80 percent of the total value) being used as collateral for the long-term loan. Particularly when interest rates are low, debt (as opposed to equity) financing allows the entrepreneur to retain a larger ownership portion in the venture and have a greater return on equity. The entrepreneur needs to be careful that the debt is not so large that regular interest payments become difficult if not impossible to make, and growth and development are inhibited or bankruptcy results.

Equity financing does not require collateral and offers the investor some form of ownership position in the venture. The investor shares in the profits of the venture, as well as any disposition of its assets on a ***pro rata basis***. Key factors favouring the use of one type of financing over another are the ***availability of funds***, the ***assets of the venture***, and the ***prevailing interest rates***. Usually an entrepreneur meets financial needs by employing ***a combination of debt and equity financing***.

All ventures will have some equity, as all ventures are owned by someone in a market economy. Although the owner may sometimes not be directly involved in the day-to-day management of the venture, there is always equity funding involved that is provided by the owner. The amount of equity involved will vary by the nature and size of the venture. In some cases, the equity may be entirely provided by the owner. Larger ventures may require multiple owners, including private investors and/or venture capitalists. This equity funding provides the basis for debt funding, which makes up the capital structure of the venture.

Internal or External Funds

From another perspective, financing is available from internal or external funds. The type of funds frequently employed is internally generated funds. Internally generated funds can come from several sources within the company: profits, sale of assets, reduction in working capital, extended

payment terms, and accounts receivable. In every new venture, the start-up years involve putting all the profits back into the venture; even if outside equity investors do not expect payback in these early years. Sometimes, the needed funds can be obtained by selling little-used assets. Assets, whenever possible, should be on a rental basis (preferably on a lease with an option to buy), not an ownership basis, as long as there is not a high level of inflation and the rental terms are favourable. This will help the entrepreneur conserve cash, which is particularly critical during the start-up phase of the company's operation.

A short-term, internal source of funds can be obtained by reducing short-term assets: inventory, cash, and other working capital items. Sometimes an entrepreneur can generate the needed cash for a period of 30 to 60 days through extended payment terms from suppliers. Although care must be taken to ensure good supplier relations and continuous sources of supply, taking a few extra days in paying can generate needed short-term funds. A final method of internally generated funds is collecting bills (accounts receivable) more quickly. Care should be taken not to irritate key accounts when implementing this practice, as customers have established payment practices. Mass merchandisers, for example pay their bills to supplying companies in 60 to 90 days regardless of a supplying company's accounts receivable policy, the size of the company, or the discount for prompt payment offered. If a company wants this mass merchandiser to carry its product, it will have to abide by this payment schedule.

The other general source of funds is external to the venture. Alternative sources of external financing need to be evaluated on three bases: the length of time the funds are available, the costs involved, and the amount of company control lost.

Personal Funds

Few, if any, new ventures are started without the personal funds of the entrepreneur. Not only are these the least expensive funds in terms of cost and control, but they are absolutely essential in attracting outside funding, particularly from banks, private investors, and venture capitalists. These outside providers of capital feel that the entrepreneur may not be sufficiently committed to the venture if he or she does not have the money invested. As one venture capitalist succinctly said "I want the entrepreneurs so financially committed that when the going gets tough, they will work through the problems and not throw the keys to the company on my desk."

This level of commitment is reflected in the percentage of total assets available that the entrepreneur has committed, not necessarily in the amount of money committed. An outside investor wants an entrepreneur to have committed all available assets, an indicator that he or she truly believes in the venture and will work all the necessary hours so that the venture succeeds.

Family and Friends

After the entrepreneur, family and friends are the next most common source of capital for a new venture. They are most likely to invest due to their relationship with the entrepreneur as well as their being accessible. This knowledge helps overcome one portion of uncertainty felt by impersonal investors – knowledge of the entrepreneur. Family and friends provide a small amount of equity funding for new ventures, reflecting in part the small amount of capital needed for most new ventures. Even though it is relatively easy to obtain money from family and friends, like all sources of capital, there are positive and negative aspects. Even though the amount of money provided may be small, if it is in the form of equity financing, the family member or friend then has an ownership position in the venture and all rights and privileges of that position. This may

make them feel they have a direct input into the operations of the venture, which may have a negative effect on employees, facilities, or sales and profits. Although this possibility must be guarded against to the extent possible, frequently family and friends are not problem investors and in fact are more patient than other investors in desiring a return on their investment.

In order to avoid potential future problems, the entrepreneur must present the positive aspects and the future of the risks of the investment opportunity to try to minimise the negative impact on the relationships with family and friends should problems occur. One thing that helps minimise any future problems is to keep the business arrangements strictly business. Any loan or investments from family or friends should be treated in the same businesslike manner that would occur if the financing was from an impersonal investor. Any loan should specify the rate of interest and the proposed repayment schedule of interest and principal. The timing of any future dividends must be disowned in terms of an equity investment. If the family or friend is treated the same way as any investor, potential future conflicts can be avoided. Another thing for the entrepreneur to do is to settle everything up-front and in writing. It is amazing how short memories become when money is involved. All the details of the financing must be agreed on before the money is put into the venture. Such things as the amount of money involved, the terms of the money, the rights and responsibilities of the investor, and what happens if this business fails must all be agreed on and written down. A formal agreement with all these items helps avoid future problems.

Finally, the entrepreneur should carefully consider the impact of the investment on the family member or friend before it is accepted. Particular concern should be paid to any hardships that might result should the business fail. Each family member or friend should be investing in the venture because they think it is good investment; not because they feel obliged.

Commercial Banks

Commercial banks are by far the most frequently used source of short-term funds by the entrepreneur when collateral is available. The funds provided are in the form of debt financing, and as such some tangible guaranty or collateral – some asset with value. This collateral can be in the form of business assets (land, equipment, or the building of the venture), personal assets (the entrepreneur's house, car, land, stock, or bonds), or the assets of the co-signer of the note.

Venture Capital

Venture capital is a general term to describe a range of ordinary and preference shares where the investing institution acquires a share in the business. Venture capital is intended for higher risks such as start up situations and development capital for more mature investments. Replacement capital brings in an institution in place of one of the original shareholders of a business who wishes to realise their personal equity before the other shareholders.

THE FINANCIAL PLAN

Planning for Profit and Cost Control

Planning is critical to the operation of a profitable business. The area of planning that is associated with financial matters is commonly called **budgeting**, which is a process that involves co-ordinating the finances of all areas of the new venture. The responsibility for the co-ordination of budgeting activities rests with the entrepreneur or entrepreneurial team.

The Financial Planning Process

The nature of financial planning changes according to the length of the time period being considered. Generally, the shorter the time period, the more specific the plans. The three levels of financial planning for a new venture are called strategic planning, capital budgeting and operations budgeting.

Strategic planning involves making long term decisions such as defining the scope of the new venture, determining which products to develop, deciding which market niche should be profitable, etc.

Capital budgeting deals with intermediate range planning. It involves making decisions such as whether to buy or lease equipment, etc.

The ***operating budget*** involves the establishment of a ***master budget*** that will direct the new venture's activities over the short term. The master budget states objectives in specific quantities and includes sales targets, production objectives and financing plans.

The master budget normally covers a one-year time span. It is frequently subdivided into quarterly projections and often includes quarterly data subdivided by month. Obviously the entrepreneurial team does not want to wait until year end to know whether it will meet its budget. Monthly data provide the timely feedback necessary to take corrective action.

Many companies use a technique known as perpetual or continuous budgeting that utilises a 12-month reporting period. At the completion of the current month, a new month is added to the end of the budgeting period, resulting in a continuous 12-month budget. The advantage of the perpetual budget is that it keeps management involved in the budget process.

Advantages of Budgeting

Budgeting is a costly, time-consuming activity; however, the sacrifices are more than offset by the benefits. Budgeting encourages planning, co-ordination, performance measurement, and corrective action.

The master Budget

The **master budget** consists of a series of detailed schedules and budgets that describe the new venture's overall financial plans for the coming accounting period. The three major budget categories are:

1. Operating budgets
2. Capital budgets
3. Financial statement budgets

The budgeting process normally begins with the preparation of the operating budgets. An ***operating budget*** is prepared by individual sections within the new venture and becomes part of the venture's master budget. The number of operating budgets depends on the nature of the business entity. For example, budgeting for the inventory needs of a manufacturing entity requires the preparation of a raw materials budget, a labour budget, and an overhead budget. In contrast, a retail venture needs only an inventory purchases budget. A retail sales company may use four operating budgets: sales budget, an inventory purchases budget, a selling and administrative (S&A) budget and a cash budget.

The sales, inventory, and selling and administrative budgets contain schedules that identify the cash consequences associated with the various business activities.

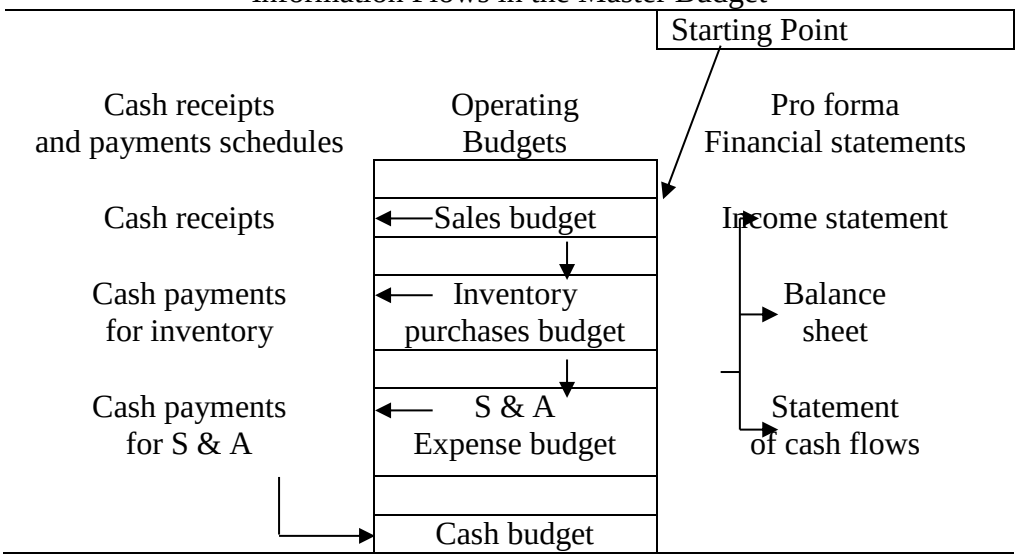
The ***capital budget*** describes the new venture's long term plans regarding investments in facilities, equipment, new products, store outlets, and lines of business. The information from the capital budget is input to several operating budgets. For example, acquisitions of equipment result in the recognition of depreciation expense on the Selling and Administrative (S & A) budget. In addition, the cash flows associated with capital investment appear on the cash budget.

Information contained in the operating budgets is used to prepare the ***financial statements budgets***. Again, the number of financial statement budgets, also called ***pro forma statements***, depends on the nature and needs of the budget entity.

Exhibit 1 is a graphic presentation of the information flows in a master budget.

Exhibit 1

Information Flows in the Master Budget



The **Juicy Chicken Company**, a new venture in sales retail is used to demonstrate the preparation of the master budget. The venture uses four operating budgets:

(1) a sales budget,
(2) an inventory purchases budget,
(3) a selling and administrative (S & A) budget, and
(4) a cash budget.

Sales Budget

The preparation of the master budget begins with the ***sales forecast***. The accuracy of the sales forecast is critical because it acts as the source data for all other budgets. If the sales figures are unreliable, the entire budgeting process is a waste of time. Thus, it is easy to understand why every available effort should be made to obtain estimates of projected sales.

The marketing department normally co-ordinates the effort to establish the sales forecast. Frequently, the information flows from the bottom up the higher management levels. Sales personnel are asked to prepare estimates of sales projections for the designated products and geographic locations, and then to pass these estimates up the line where they are combined with the estimates of other sales personnel to form the regional and national estimates. Using a variety of information sources, upper level sales managers make appropriate adjustments to the estimates generated by the sales persons. Some of the more common inputs to the adjustment process include information gathered from industry periodicals and trade journals, analysis of economic conditions, marketing surveys, historical sales figures, and assessments of changes in competitive forces. The information may be assimilated through a system of computer programmes, statistical techniques, and quantitative methods, or it may be subjected to the professional judgement of the upper level sales managers.

To initiate the budgeting process for Juicy Chicken Company's new venture, the sales manager reviews the sales history of stores operating in locations similar to the proposed site. He then makes adjustments for start up conditions. October is considered as an opportune time to start a new store because customers would have time to become familiar with the store's location during October before the holiday season. He expects significant sales growth in November and December and envisions the company's chicken as the centrepiece of many Christmas dinner tables. Specifically, he expects the new (venture's) store's sales to start in October at ***$160,000***. Cash versus credit sales (i.e. ***sales on account***) are projected at ***$40,000*** and ***$120,000***, respectively, and sales are expected to increase ***20 percent per month*** during November and December. Based on these estimates, the sales manager prepares the sales budget (See Exhibit 2).

Exhibit 2
Juicy Chicken Company
Sales Budget and Schedule of Cash Receipts
For the Quarter Ended December 31 201X

Budget Line		October	November	December	Pro Forma Statement Data
Panel 1	**Sales Budget**	$	$	$	
1	Budgeted cash sales	40,000	48,000	57,600	
2	Budgeted sales on account	120,000	144,000	172,800	---->$ 172,800
3	Total budgeted sales	160,000	192,000	230,400	$582,400
Panel 2	**Schedule of Cash Receipts**				
4	Current month's cash sales	40,000	48,000	57,600	
5	Accounts receivable from previous month's credit sales	0	120,000	144,000	
6	Total Budgeted Collections	40,000	168,000	201,600	

Notice that the sales budget is subdivided into two panels, the first of which describes the projected sales for each month. The sales forecast for November is computed by adding a 20 percent increase to the amount of October sales. For example, ***cash sales*** for November are calculated as $48,000 ($40,000 + [$40,000 x 0.20]) and for December as $57,600 ($48,000+ [$48,000 x 0.20]). ***Sales on account*** are computed using the same mathematical procedures.

Schedule of Cash Receipts

Panel 2 in Exhibit 2 contains a schedule of the cash receipts associated with the expected sales. This information is used to prepare the cash budget (Exhibit 5). The accountant prepares the schedule under the assumption that accounts receivable from credit sales are collected ***in full*** in the month following sale.

Total cash receipts are determined by adding the ***accounts receivable*** balance from the previous month's ***credit sales*** to the current month's ***cash sales***. Because the venture will begin in October, no accounts receivable balance from September (i.e. the previous month's credit sales) is available. Accordingly cash receipts for October equal the amount of October's ***cash sales***. November collections equal November's ***cash sales*** plus the ***accounts receivable balance*** generated from October's ***credit sales*** ($48,000 + $120,000 = 168,000). December's receipts equal December's cash sales and the accounts receivable balance generated from November's credit sales ($57,600 + $144,000 = $201,600).

Pro Forma Financial Statement Data

The column Pro Forma Statement Data contains two items that will appear on the end of quarter (i.e. December 31) budgeted financial statements. The first item ($172,800) represents the amount of the ending accounts receivable balance on the pro forma balance sheet (Exhibit 7). Since December's credit sales will be collected in January, the receivables account will have a $172,800 balance as of December 31, 201X.

The second item in the Pro Forma Statement Data column ($582,400) is the amount of sales revenue reported on the company's budgeted income statement. This amount is determined by summing the amounts of the monthly sales. In other words, sales for the quarter equal the total sales for each month of the quarter ($160,000 + $192,000 + $230,400 = $582,400).

Inventory Purchases Budget

After the amount of projected sales has been established, Juicy Chicken Company's accountant focuses on the amount of inventory that will be needed to satisfy the sales demand. Meeting the sales demand requires having enough inventory to cover expected sales and future sales between re-order points. Accordingly, the total amount of ***inventory needed*** for each month equals the amount of budgeted sales plus the desired ***ending inventory***. The total amount of inventory needed can be obtained from two sources. First, the company can use existing stock. In other words, customer demand can be satisfied with goods that are in ***beginning inventory***. The difference between the cost of goods needed and the beginning inventory is the amount of goods to be purchased. Accordingly, the purchases budget follows a logical format that is summarised as follows

Cost of budgeted sales	XXX
Plus: Desired ending inventory	**XXX**
Inventory needed	XXX
Less: Beginning inventory	(XXX)
Amount to purchase	**XXX**

Juicy Chicken Company's ***cost of budgeted sales*** equals 70 percent of total budgeted sales (see Line 3 in Exhibit 2). In addition, Juicy Chicken has the policy of maintaining an ending inventory that equals 20 percent of the current month's ***cost of budgeted sales***. Based on this information and the data contained in the sales budget, the accountant prepares the purchases budget shown in Panel 1 of Exhibit 3. The ***budgeted cost of sales*** for October is determined by multiplying October's budgeted sales times 70 percent ($160,000 x 0.70 = $112,000). Budgeted cost of sales for November and December are computed in a similar fashion. The ***desired ending inventory*** for October is computed by multiplying October's budgeted cost of goods sold times ($112,000 x 0.20 = $22,400). Desired ending inventory for November and December is computed in a similar way.

Schedule of Cash Payments for Inventory Purchases

Panel 2 of Exhibit 3 contains the cash payments budget. All merchandise is purchased on account. Because the chicken is perishable, the supplier demands that a significant portion of the accounts payable be settled within the month of purchase. Specifically, 80 percent of the current payables balance must be paid in the month goods are purchased. The remaining 20 percent is paid during the following month. Because the venture (store) opens in October, no September balance exists. Accordingly cash payments for October are 80 percent of October's required purchases ([$134,400 x 0.80 = $107,520]. Cash payments for November amount to 80 percent of November purchases plus 20 percent of October purchases ([$138,880x0.80 = $111,104] + [$134,400x0.20 =$26,880] = $137,984). Similarly ***cash payments*** for December amount to 80 percent of December purchases plus 20 percent of November purchases ([$166,656x0.80 = 133,325] + [$138,880x0.20 = $27,776] = $161,101).

Exhibit 3
Juicy Chicken Company
Inventory Purchases Budget and Schedule of Cash Payments for Inventory
For the Quarter Ended December 31 201X

Budget line		October	November	December	Pro Forma Statements Data
Panel 1	**Purchases Budget**				
1	Budgeted cost of goods sold	$112,000	$134,400	$161,280	----> 407,680
2	Plus: Desired end inventory (line 1 x 0.20)	22,400	26,880	32,256	32,256
3	Inventory needed	$134,400	$161,280	$193,536	
4	Less: Beginning inventory	0	(22,400)	(26,880)	
5	Total required inventory	$134,400	$138,880	$166,656	(20%) ---> 33,331
Panel 2	**Schedule of Cash Payments for Inventory Purchases**				
6	Current purchases at 80 %	$107,520	$111,104	$133,325	
7	Prior month's purchases at 20%	0	26,880	27,776	
8	Total budgeted payments for inventory	$107,520	$137,984	$161,101	

Pro Forma Financial Statement Data

The purchases budget contains three items that are relevant to the preparation of the pro forma financial statements. First, the amount of cost of goods sold (see Exhibit 3, Budget Line 1) will be shown on the budgeted income statements. The amount of the ***cost of goods sold*** for the quarter equals the total of the monthly amounts ($112,000 + $134,400 + $161,280). The ***ending inventory*** balance for December 31 also represents the ending inventory balance for the quarter. Accordingly, the $32,256 ending inventory balance is shown in the pro forma balance sheet. Finally, the assumed payments schedule results in a year end balance in the ***accounts payable account***. Because 20 percent of December credit purchases will be collected in January, the payables account will have a balance of $33,331 (from Line 5, December column, $166,656 x 0.20 = $33,331) as of December 31, 201X.

Selling and Administrative Expense Budget

The selling and administrative (S & A) expense budget for Juicy Chicken Company's new venture is shown in Exhibit 4. It is assumed that the opening of the new store will require a significant investment in store fixtures including refrigeration equipment. Total investment in fixtures, which are expected to have an average useful life of 10 years and a salvage value of $10,000 is expected to be $130,000. Depreciation is determined on a straight line basis, resulting in an annual charge of $12,000 ([$130,000 - $10,000] ÷ 10). Monthly depreciation expense is $1,000 ($12,000 annual charge ÷ 12 months). Notice that the Juicy Chicken Company's S & A expense budget does not contain a provision for interest expense; the amount of interest expense cannot be determined until the amount of expected borrowing has been established through the preparation of the cash budget.

Exhibit 4
Juicy Chicken Company
S & A Expense Budget and Schedule of Cash Payments for S & A Expense
For the Quarter Ended December 31 201X

Budget Line		October	November	December	Pro Forma Statement Data
Panel 1	**Selling & Administrative Expense Budget**	$	$	$	
1	Salary expense	24,000	24,000	24,000	
2	Sales commissions (2 percent of sales)	3,200	3,840	4,608	---->$ 4,608
3	Supplies expense (1 percent of sales)	1,600	1,920	2,304	
4	Utilities	1,400	1,400	1,400	---->$ 1,400
5	Depreciation on store equipment	1,000	1,000	1,000	3,000
6	Rent	3,600	3,600	3,600	
7	Miscellaneous	900	900	900	
8	Total S & A before interest	$35,700	$36,660	$37,812	$110,172
Panel 2	**Schedule of Cash Payments for Selling and Administrative Expenses**				
9	Salary expense paid monthly as incurred	24,000	24,000	24,000	
10	Prior month's sales commissions, 100 %	0	3,200	3,840	
11	Supplies expense paid monthly as incurred	1,600	1,920	2,304	
12	Prior month's utilities, 100 %	0	1,400	1,400	
13	Rent paid monthly as incurred	3,600	3,600	3,600	
14	Miscellaneous paid monthly as incurred	900	900	900	
15	Total cash payments for S & A expenses	$30,100	$35,020	$36,044	

Schedule of Cash Payments for Selling and Administrative Expenses

Panel 2 of Exhibit 4 contains the schedule of cash payments associated with S & A expenses. Differences between expense recognition and cash flow result from several conditions. First, cash

payments for sales commissions and utilities are expected to be paid in the month following their occurrence.

Pro Forma Financial Statement Data
The assumed schedule results in a year end balance in the ***sales commissions and utilities payable accounts***. Because December's payments for commissions and utilities will be paid in January, the commissions and utilities payable accounts will have balances of $4,608 and $1,400, respectively, as of December 31 (see Pro Forma Statement Data column amounts for Budget Lines 2 and 4, Exhibit 4). The items will appear on the pro forma balance sheet. The total amount of S & A expenses before interest is determined by summing the monthly amounts of ($35,700 +$36,660 + $37,812 = $110,172). This amount appears on Budget Line 8 under the Pro Forma Statement column. The S & A expense is shown on the pro forma income statement.

Cash Budget
The effective management of cash is important to the success of a new venture. If excess cash is permitted to accumulate, the business will lose the opportunity to earn investment income or to repay debt, thereby reducing interest costs. On the other hand, if cash shortages occur, the business will be unable to pay its debts and may be forced into bankruptcy. A cash budget is prepared to advise management of anticipated cash shortages or excessive cash balances. Management uses this information to plan its financing activities. It makes arrangements with creditors to ensure that anticipated shortages can be covered by borrowing. It also plans to repay past borrowings and to make appropriate investments in the periods in which excess amounts of cash are expected.

The cash budget is composed of three major components including
1. A cash receipts section,
2. A cash payments section, and
3. A financing section.

Most of the raw data needed to prepare the cash budget are included in the cash receipts and payments schedules (see Exhibits 2, 3, 4). Further refinements of these data are sometimes necessary. The complete cash budget is shown in Exhibit 5.

Cash Receipts Section
The cash receipts for Juicy Chicken Company is shown in the schedule of cash receipts (Budget Line 6 in Panel 2, Exhibit 2). The amounts in this schedule are transferred to Budget Line 2 of the cash budget (Exhibit 5). The expected cash receipts are added to the beginning cash balance to determine the amount of cash available for use (Budget Line 3 in Exhibit 5).

Cash Payments Section
Cash payments include expected cash outflows for inventory purchases, S & A expenses, and investments. The cash payments for inventory purchases are shown in the ***schedule of cash payments for inventory purchases*** (Budget Line 8 in Panel 2 of Exhibit 3). The amounts in the inventory payments schedule have been transferred to Budget Line 4 of the cash budget (Exhibit 5). The cash payments for S & A expenses shown in the schedule of cash payments for S & A expenses (Budget Line 15 in Panel 2 of Exhibit 4). The amounts in the receipts schedule are transferred to Budget Line 5 of the cash budget (Exhibit 5). Recall that the Juicy Chicken Company

is to spend $130,000 on fixtures to equip the new store. This amount is shown on Budget Line 6 on the cash budget (Exhibit 5) and the total expected cash payments is displayed on Budget line 7.

Financing Section

Exhibit 5
Juicy Chicken Company
Cash Budget
For the Quarter Ended December 31 201X

Budget Line		October	November	December	Pro Forma Statement Data
Cash Receipts					
1	Beginning cash balance	$ 0	$ 7,624	$ 7,550	
2	Add cash receipts (Exhibit 2)	40,000	168,000	201,600	$409,600
3	Total cash available	40,000	175,624	209,150	
Less: Cash Payments					
4	For inventory purchases (Exhibit 3)	107,520	137,984	161,101	406,605
5	For S & A expenses (Exhibit 4)	30,100	35,020	36,044	101,164
6	To purchase store fixtures	130,000	0	0	130,000
7	Total cash payments	267,620	173,004	197,145	
Cash Needs					
8	Shortage (surplus of cash (Line 7 - Line 3)	227,620	(2,620)	(12,005)	
9	Plus desired cash cushion	10,000	10,000	10,000	
Financing Activity					
10	Amount borrowed (repaid)	237,620	7,380	(2,005)	242,995
11	Interest expense at 1% per month	(2,376)	(2,450)	(2,430)	7,256
12	Ending cash balance (Line 3 - 7 + 10 + 11)	$7,624	$7,550	$7,570	----> $ 7,570

In October, Juicy Chicken Company expects to have a cash deficit of $227,620 (Budget Line 8, October column, Exhibit 5). Accordingly, Juicy Chicken will need to borrow money to finance the establishment and operation of the new store. If the company were to borrow only $227,620, it would have an insufficient amount of funds available to pay interest and to maintain a reasonable minimum ending cash balance. For this reason, Juicy Company decides to borrow a ***cash cushion*** amounting to $10,000 more than the amount of the expected cash shortage. This amount is shown on Budget Line 9 of Exhibit 5. The total amount borrowed is $237,620 ($227,620 cash shortage + $10,000 cash cushion), shown on Budget Line 10.

The interest rate on the line of credit is assumed to be 1 percent per month. Accordingly, interest expense (Budget Line 11, Exhibit 5) for October is $2,376 ($237,620 amount borrowed x 0.01). The ending cash balance is determined by adding the cash available (Budget Line 3) plus the funds borrowed (Budget Line 10) minus total cash payments for S & A expense (Budget Line 7 minus cash paid for interest expense (Budget Line 11). The result appears on Budget Line 12. The ending cash balance becomes the beginning cash balance for the following month.

The computation for the amount borrowed in November begins with the cash surplus of $2,620 (Budget line 8). This surplus is insufficient to maintain the $10,000 desired cash cushion. Accordingly, Juicy Chicken Company must borrow an additional $7,380 ($10,000 - $2,620).

Interest expense is calculated as 1 percent of the outstanding debt ([$237,620 October borrowings + $7,380 November borrowings] x 0.01 = $2,450).

In December, the company produces enough surplus cash to make a partial repayment of the principal balance. The amount available for repayment is $2,005 ($12,000 – 10,000 cash cushion). The interest expense for December is $2,430 ([$237,620 + $7,380 -$2,005] x 0.01).

Pro Forma Financial Statement Data

The pro forma statement of cash flows is shown in Exhibit 8. The total of the cash receipts and the totals of the cash payments for inventory and S & A expenses are shown in the Cash Flow from Operating Activities section of the pro forma statement of cash flows. The totals of the cash receipts and payments are determined by summing the monthly amounts. For example, the total cash receipts ($409,600) shown on the cash budget (Exhibit 5, Budget Line 2) is computed by adding the amounts for October, November, and December. Totals for the cash payment items on Budget Lines 4 and 5 are computed in a similar fashion.

The $130,000 purchase price of the store fixtures appears in the Cash Flow from Investing Activities section of the ***statement of cash flows*** and in the Assets section of the ***pro forma balance sheet***. The amount borrowed ($242,995, Budget Line 10, Exhibit 5) is determined by adding the borrowings in October and November minus the repayment made in December ($237,620 + $7,380 - $2,005 = $242,995) and is shown in the Cash Flow from Financing Activities section of the pro forma statement of cash flows (Exhibit 8) and in the Liabilities section of the pro forma balance sheet (Exhibit 7). The total amount of interest expense shown in Exhibit 6 is also determined by summing the monthly amounts on Line 11 of Exhibit 5 ($2,376 + $2,450 + $2,430 = $7,256). Because the interest is paid in cash, the interest expense is shown in the Cash Flow from Operating Activities section of the pro forma statement of cash flows (Exhibit 8) and on the pro forma income statement (Exhibit 6). Finally, the ending cash balance ($7,570) for December also constitutes the ending balance for the quarter. This amount is shown on the pro forma balance sheet and as the last item on the pro forma statement of cash flows.

Pro Forma Income Statement

The budgeted income statement for Juicy Chicken Company is shown in Exhibit 6. The information needed to prepare this statement is contained in Exhibits 1, 2, 3 and 4. The budgeted income statement provides insight into the new venture's expected profitability. If expected profitability is unsatisfactory, the entrepreneur or the entrepreneurial team may decide to abandon the project or to alter planned activity.

Exhibit 6

Juicy Chicken Company
Pro Forma Income Statement
For the Quarter Ended December 31, 201X

		Data Source
Sales Revenue	$582,400	Exhibit 2
Cost of Goods Sold	(407,680)	Exhibit 3
Gross Margin	174,720	
Selling and Administrative Expenses	110,172	Exhibit 4
Operating Income	64,548	
Interest Expense	(7,256)	Exhibit 5
Net Income	$57,292	

Pro Forma Balance Sheet

The new store venture has no contributed capital because its operations are fully financed through debt and retained earnings.

Exhibit 7

Juicy Chicken Company
Pro Forma Balance Sheet
For the Quarter Ended December 31, 201X

	$	$	
Assets			
Cash		7,570	Exhibit 5
Accounts Receivable		172,800	Exhibit 2
Inventory		32,256	Exhibit 3
Store Fixtures & Equipment	130,000		Exhibit 4
Accumulated Depreciation	(3,000)		Exhibit 4
Book Value of Equipment		127,000	
Total Assets		339,626	
Equity			
Retained Earnings		57,292	
Liabilities			
Accounts Payable		33,331	Exhibit 3
Utilities Payable		1,400	Exhibit 4
Sales Commission Payable		4,608	Exhibit 4
Line of Credit Borrowings		242,995	Exhibit 5
Total Equity and Liabilities		339,626	

Pro Forma Statement of Cash Flows

The pro forma statement of cash flows is shown in Exhibit 8. All the information used to prepare this statement was drawn from the cash budget shown in Exhibit 5.

Exhibit 8

Juicy Chicken Company
Pro Forma Statement of Cash Flows
For the Quarter Ended December 31, 201X

Cash Flow from Operating Activities	$	$
Cash Receipts from Customers	409,600	
Cash Payments for Inventory	(406,605)	
Cash Payments for S & A Expenses	(101,164)	
Cash Payments for Interest Expense	(7,256)	
Net Cash Flow from Operations		(105,425)
Cash Flow from Investing Activities		
Cash Outflow to Purchase Fixtures		(130,000)
Cash Outflow from Financing Activities		
Inflow from Borrowing on Line of Credit		242,995
Net Change in Cash		7,570
Plus Beginning Cash Balance		0
Ending Cash Balance		7,570